MALIBU BOATS INC MBUU

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by avalon216

			2026	2027
Price:	29.90	EPS	0	0
Shares Out. (in M):	20	P/E	0	0
Market Cap (in $M):	579	P/FCF	0	0
Net Debt (in $M):	120	EBIT	0	0
TEV (in $M):	699	TEV/EBIT	0	0

Description

Malibu Boats is the largest manufacturer of performance sport boats (tow sports / wakeboarding / wake-surfing) in the United States. The company has 40% market share of an industry dominated by three players. Malibu's markets are highly cyclical, and we believe the opportunity exists today because the company is at a cyclical trough. The stock trades on 31x FY2025 EBIT but only 6x what we think mid-cycle EBIT is. We think the stock is worth about $72 in three years, up 144% from today's price. Net of the cash we expect it to generate by then, today's EV is 6x our year 3 FCF.

Unit Economics

Malibu sells boats through roughly 325 independent dealers and owns no stores. Revenue is entirely boat sales. There is no meaningful parts or service business. Dealers fund the boats on their lots with floor-plan loans, and 60–70% of retail buyers finance the purchase.

The company has four divisions:

- Tow sports boats, sold under the Malibu and Axis brands, are built for wakeboarding and wake-surfing, where the wake the boat makes is the point of the product.
- Cobalt makes sterndrive bowriders, open day boats with the engine hidden inside the hull.
- The Pursuit, Maverick, Cobia, and Pathfinder brands make saltwater fishing boats.
- A fourth division was added in March 2026 called Saxdor, a European luxury yacht brand.

Revenue is about 90% North America and 10% international. Roughly half of Saxdor's own revenue is European, so the acquisition shifts that mix. Group revenue fell 3% in FY2025 and is guided up 9% in FY2026.

Segment (FY2025)	*Revenue*	*% of total*	*y/y*	*Units*	*Average price*
Malibu/Axis (tow sports)	$313mm	39%	+12%	2,223	$140,665
Saltwater fishing	$280mm	35%	−15%	1,266	$220,881
Cobalt (sterndrive)	$215mm	27%	−3%	1,409	$152,752
Total	*$808mm*	*100%*	*−3%*	*4,898*	*$164,876*

At a mid-cycle 6,000 units we estimate the gross margin recovers from 17.8% to 21–23% and the EBIT margin from 2.7% to 11–13%. Each returning boat carries a 30–35% incremental gross margin.

A listed dealer called OneWater Marine accounted for 25% of 2025 sales.

Market Share

Segment	*Malibu brand*	*Est. share*	*Key competitors*	*Trend*
Tow sports	Malibu, Axis	~40%	MasterCraft (~19–20%), Nautique (~20–25%)	Stable leadership for over a decade
Sterndrive/bowriders	Cobalt	~10–15%	Sea Ray (Brunswick), Chaparral, Chris-Craft	Declining category; sterndrive has lost share to outboards for a decade
Saltwater fishing	Pursuit, Maverick, Cobia	~5–8%	Grady-White, Boston Whaler (Brunswick), Robalo, Scout	Fragmented; no significant share change
European luxury yachts	Saxdor	Small, early stage	Jeanneau, Beneteau, Princess	Growing pre-acquisition; integration underway

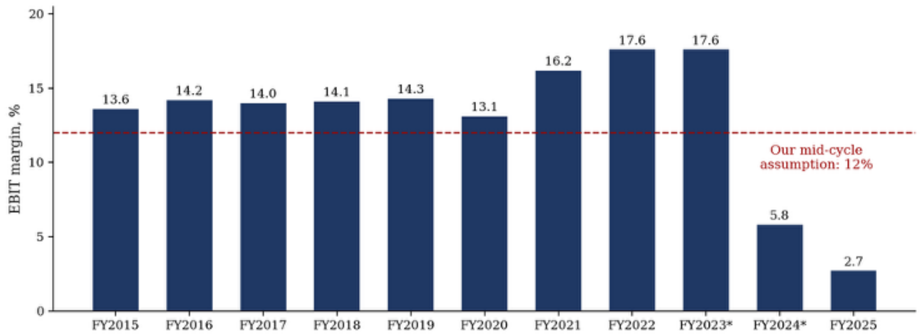
Investment Thesis

Thesis #1: Malibu is at a cyclical trough. FY2025's 4,898 boats are half the 9,863 it sold in FY2023 and below the fleet's replacement rate. At a mid-cycle 6,000 units it earns a 12% margin, or $116mm of EBIT, which puts the stock on 5.9x.

We estimate mid-cycle EBIT margins in four ways, which all converge around 12%:

Method	*Result*
Malibu's own pre-boom record	13.1–14.3% EBIT margins every year from FY2015 to FY2020. The 16–18% of FY2021–23 was COVID-inflated and is excluded

Unit build	FY2025's $22mm of EBIT + 1,100 recovered units at $55k each + $14mm of sourcing gains = $96mm on $800mm, a 12.0% margin
Management comments	$1bn of revenue on this cost base restores mid-teens EBITDA margins, which is 11–12% in EBIT after $40mm of D&A
Closest peer	MasterCraft, a year further into its recovery, running toward 9–10%. Malibu's 40% share of the premium category supports sitting above it



FY2023 excludes a ~$100mm litigation accrual. FY2024 excludes a $104mm impairment.

Management said on the FY2024 Q4 call that $1bn of revenue on this cost base restores mid-teens EBITDA margins, which is about 11–12% in EBIT. FY2025 revenue was $808mm on 4,898 boats. Adding $190mm from the Saxdor acquisition and assuming a 12% EBIT margin gives $116mm in mid-cycle EBIT.

Malibu also has an opportunity to improve margins through self-help. The company has had a high level of promotional intensity since dealer Tommy’s Boats went bankrupt in 2024, and CEO Steve Menneto was brought in in-part to fix dealer relationships and reduce promotions. Management is also reducing costs through sourcing, which contributed to gross margins increasing 420bps in fiscal Q2.

Thesis #2: The cycle is starting to turn. Malibu's dealers have finished destocking and guidance has inflected.

Malibu's dealers reported normal weeks of supply by May 2026, and guidance is turning as well. After three straight cuts through FY2025, the FY2026 guide held for two quarters and the revenue outlook for the pre-Saxdor business was raised at the May 2026 call.

Competitor MasterCraft also raised its retail assumption from "down 5–10%" to "roughly flat" the same month. That comment was for the MasterCraft brand specifically, which is the premium ski-wake category Malibu leads.

Although higher interest rates are a headwind and boats are a discretionary product, it seems clear that we are at or close to the bottom of the cycle unless we have a recession.

The fleet is ageing and salt-exposed, and Brunswick, the competitor that owns the Mercury engine brand, puts industry new-boat sales at half to 60% of the replacement rate. Our base case rebuilds pre-Saxdor volumes only to 6,000 units by FY2029, 40% below the 9,863 boats the same brands shipped in FY2023.

Thesis #3: Management has spent the downturn making an acquisition and buying its own stock at the bottom of the cycle.

In March 2026 Malibu acquired Saxdor, a European luxury yacht brand, for $175mm. Malibu paid 7.2x EBITDA for around $24mm in EBITDA and $20mm in EBIT. Management expects margins to expand from here and given where we are in the cycle it is hard to believe this was a bad deal.

Saxdor's buyer is younger and affluent, and distinct from the aging towboat core. Its boats can be built at Malibu's Florida plant, which currently runs at 65% utilization.

Malibu has also bought back $70mm of stock in the seven quarters to March 2026, with the board raising the authorization from $50mm to $70mm in December 2025. However, the share count has still gone up as the 1.52mm shares issued to pay for Saxdor outweighed the 1.24mm bought. Our base case assumes no further stock-funded deals and assumes buybacks that reduce the share count to 17.3mm by Year 3.

Malibu still has a strong balance sheet with net debt at 1.5x trough EBITDA. In July 2026 the company refinanced a $100mm term loan and a $250mm revolver.

Key Risks

Cyclicality - Buying a $200k boat is highly discretionary, and around two-thirds of purchases are financed. A spike in rates and/or recession would impact demand.

Dealer concentration - OneWater Marine is Malibu's largest dealer with 25% of Malibu sales. The company has 4.1x ND/EBITDA and relies on floor-plan financing to fund the boat inventory, making it particularly vulnerable to higher interest rates. Malibu saw disruption in 2024 after channel stuffing Tommy’s Boats, a smaller dealer, which then went bankrupt. A bankruptcy to OneWater would have a much greater impact. OneWater is deleveraging, with its leverage below the company's 4.5x target after a $50mm asset sale.

Valuation

FY2026 guidance is $72–74mm of adjusted EBITDA, which is about $25mm of unlevered FCF. Adding Saxdor takes that to around $40mm, putting the stock on 17x EV/FCF on a trailing basis.

At a 12% mid-cycle margin FCF is about $95mm. We assume a recovery takes three years and put the stock on 13x for $1,235mm. Subtracting $120mm of net debt and adding

$150mm of cash generation gets to an equity value of $1,265mm for 118% upside. If Malibu uses its cash generation instead to continue buying back stock, we get to 144% upside.

Sustained downside is likely to require a recession. Even at today's FCF generation the company is on track to be net cash in three years time and trade on 14x trough FCF.

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Catalyst

Cyclical recovery

Messages

No messages